Forex Agent Foundation Spec

Phase 1 scope: forex-only research copilot, rule engine, paper trader, and risk-controlled execution foundation.

> *This document turns the initial concept into a practical operating spec. The goal is not to build an AI that freestyles trades. The goal is to build a disciplined machine that enforces a repeatable process better than a human does.*

Core thesis

- Do not build a general trading agent first. Build a narrowly scoped forex system with explicit rules, risk controls, and a paper-trading loop.
- The wrong version is an LLM reading charts and improvising entries. That is not an edge. It is a fast way to automate bad judgment.
- The right version is: forex research copilot -> rule engine -> paper trader -> risk-controlled executor.

What v1 should include

Component	Purpose
1. Market data ingestion	Candles, spreads, session times, economic calendar events, and optional higher-timeframe context.
2. Strategy and rules layer	Explicit setups with deterministic logic. Example: trend + pullback + session filter + RR threshold.
3. Risk engine	Position sizing, max daily loss, max open trades, no-trade news windows, and kill switch.
4. Execution simulator	Paper trades only at first, with spread and slippage assumptions, fills, stops, and take-profit handling.
5. Journal and review loop	Every trade explained, tagged, categorized, and tied to a rule set and version.

What Obsidian should be

Do not use Obsidian as a giant dumping ground for trading content. Use it as a decision system. The vault should turn theory into rules, checklists, setup definitions, hypotheses, post-trade lessons, and versioned playbooks.

Suggested vault structure

```
Forex-Agent-KB/
├── 00 Dashboard/
│   ├── Home.md
│   ├── Current Focus.md
│   ├── Weekly Review.md
│   └── Open Questions.md
│
├── 01 Foundations/
│   ├── Market Structure.md
│   ├── Sessions and Kill Zones.md
│   ├── Liquidity.md
│   ├── Order Flow Concepts.md
│   ├── Risk Management.md
│   ├── Psychology.md
│   └── Macro Basics.md
│
├── 02 Trading Course/
│   ├── Module 01 - Forex Basics.md
│   ├── Module 02 - Pairs and Sessions.md
│   ├── Module 03 - Trend and Structure.md
│   ├── Module 04 - Entry Models.md
│   ├── Module 05 - Risk.md
│   ├── Module 06 - Journaling.md
│   └── Module 07 - Backtesting.md
│
├── 03 Strategy Library/
│   ├── Strategy Index.md
│   ├── London Breakout.md
│   ├── NY Reversal.md
│   ├── Trend Pullback.md
│   ├── Range Mean Reversion.md
│   └── News Avoidance Rules.md
│
├── 04 Setup Cards/
│   ├── Bullish Pullback Setup.md
│   ├── Break and Retest.md
```

```
│   ├── Liquidity Sweep Reversal.md
│   └── Session Continuation.md
│
├── 05 Playbooks/
│   ├── EURUSD Playbook.md
│   ├── GBPUSD Playbook.md
│   ├── USDJPY Playbook.md
│   └── XAUUSD Later Maybe.md
│
├── 06 Risk Engine/
│   ├── Risk Rules.md
│   ├── Position Sizing Formula.md
│   ├── Daily Limits.md
│   ├── Drawdown Protocol.md
│   └── No-Trade Conditions.md
│
├── 07 Data + Experiments/
│   ├── Hypotheses.md
│   ├── Backtest Log.md
│   ├── Forward Test Log.md
│   ├── Strategy Versions.md
│   └── Feature Ideas.md
│
├── 08 Journal/
│   ├── Daily Trade Journal Template.md
│   ├── Weekly Review Template.md
│   └── Trades/
│       ├── 2026-03-19 - EURUSD Long.md
│       └── ...
│
├── 09 Agent Design/
│   ├── System Architecture.md
│   ├── Inputs.md
│   ├── Decision Pipeline.md
│   ├── Prompt Design.md
│   ├── Broker Integration.md
│   └── Failure Modes.md
│
└── 10 Rules That Matter/
    ├── Hard Rules.md
    ├── Soft Rules.md
    ├── Anti-Patterns.md
    └── Lessons Learned.md
```

Templates for the knowledge base

Strategy note template

```
# Strategy Name

## Objective
What market condition is this strategy designed for?

## Instruments
Which forex pairs?

## Timeframes
Bias timeframe:
Entry timeframe:

## Session Filter
London / New York / Asia / overlap

## Conditions Required
- Condition 1
- Condition 2
- Condition 3

## Entry Trigger
Exact trigger logic

## Stop Placement
Exact stop logic

## Take Profit
Fixed RR / structure target / trailing

## No-Trade Conditions
- high-impact news
- spread too wide
- counter-trend HTF
- low liquidity

## Risk Rules
- max risk per trade
- max trades per day
```

```
## Example Trades
Links to journal notes

## Failure Modes
What usually invalidates this setup?

## Metrics to Track
Win rate, expectancy, average hold time, drawdown, session performance
```

Trade journal template

```
# Trade: {{pair}} {{direction}} - {{date}}

## Setup
Which setup card did this trade belong to?

## Why This Trade?
What exact rules were satisfied?

## Context
- Session:
- Higher timeframe bias:
- News nearby:
- Spread conditions:

## Entry
- Entry price:
- Stop:
- Target:
- RR:
- Risk %:

## Outcome
- Win / Loss / BE
- P/L
- Execution quality

## Mistakes
What was wrong?

## Lesson
What should change?

## Tags
```

```
#eurusd #london #trendpullback #Asetup
```

How the agent should think

Do not let the LLM invent trades. Use the model for reasoning tasks and use deterministic code for money logic.

Use the LLM for	Use code for
Summarizing market context	Signal rules
Checking whether rule conditions appear satisfied	Entries and exits
Generating human-readable rationale	Stop / take-profit math
Comparing current setups to prior trades	Risk sizing
Post-trade analysis and lessons	Execution and kill switches

LLM = reasoning interface. Code = money logic.

Initial trading scope

- Start with one or two pairs only: EUR/USD plus either GBP/USD or USD/JPY.
- Use one setup only at first: trend pullback, London breakout, or liquidity sweep reversal.
- Trade one session only until the process is stable.
- Do not start with gold, crypto, ten pairs, or multi-asset support.

The course problem

A full trading course sounds productive, but it can become intellectual decoration. The vault should only keep concepts that improve setup selection, trade filtering, risk control, or review. If a topic does not improve one of those four things, it does not belong in v1.

Learning pipeline

Force every concept through the same chain so the knowledge base produces decisions instead of clutter.

Stage	Example
Concept	London volatility creates breakout opportunities.
Rule	Only trade the London breakout between 3-5 AM ET.
Test	Backtest the last 6 months on EUR/USD.

Evidence	Measure win rate, expectancy, and drawdown.
Decision	Keep, modify, or discard the setup.

First 30-day build path

Week 1

- Lock scope to forex only.
- Choose two pairs.
- Choose one setup.
- Build the Obsidian vault structure.
- Write hard risk rules.

Week 2

- Define exact entry and exit logic.
- Create the setup card.
- Create the journal template.
- Write the backtest spec.
- Start paper-tracking trades manually.

Week 3

- Connect a market data source.
- Implement the rule engine in code.
- Generate alerts, not auto-execution.
- Compare agent signals versus manual review.

Week 4

- Evaluate the results.
- Refine filters.
- Track false positives.
- Only then consider paper auto-execution.

Hard rules

- Max 1% risk per trade.
- Max 2-3 trades per day.
- Max daily drawdown stop.
- No revenge trades.
- No trades during major news unless the strategy explicitly includes it.
- Every trade must map to a known setup.
- Any trade without a setup tag is invalid.
- Rule changes must be versioned.

Repo structure suggestion

```
/trading-agent
├── /docs
│   ├── forex_agent_foundation_spec.md
│   ├── strategy_rules/
│   ├── risk_engine/
│   └── obsidian_vault_map/
├── /src
│   ├── /data
│   ├── /signals
│   ├── /risk
│   ├── /execution
│   ├── /journal
│   └── /llm
├── /tests
│   ├── /backtests
│   ├── /fixtures
│   └── /integration
├── /configs
│   ├── pairs.yaml
│   ├── sessions.yaml
│   ├── risk.yaml
│   └── strategy_v1.yaml
└── /notebooks
    └── exploratory_research.ipynb
```

Claude Code handoff instructions

- Treat this document as a foundation spec, not marketing copy.
- Do not implement multi-asset support. Forex only.
- Do not implement live trading first. Build a paper-trading pipeline first.
- Separate LLM reasoning tasks from deterministic execution logic.
- Create configuration-driven rules so strategy assumptions can be versioned and tested.
- Write the risk engine before any live broker integration.
- Favor observability: every signal, trade, skip, and rejection should be logged with a reason.

Bottom line

You are not building a bot that knows trading. You are building a machine that enforces disciplined decision-making. The edge is not magical intelligence. The edge is cleaner rules, cleaner filtering, cleaner execution, and cleaner review.